Groups and control

A group is a parent and all its subsidiaries. An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Control is presumed when the parent holds more than half of the voting rights. A subsidiary is consolidated in full. An associate is an entity over which the investor has significant influence, presumed when it holds 20% or more of the voting power; associates and joint ventures are accounted for using the equity method. Below 20%, the investment is normally a financial asset.

Full consolidation

Under full consolidation the parent combines 100% of the subsidiary's assets, liabilities, income and expenses, line by line, even when it owns less than 100%. The parent's investment in the subsidiary is eliminated against the parent's share of the subsidiary's equity at the acquisition date. The share capital shown in the consolidated balance sheet is the share capital of the parent only.

Goodwill and non-controlling interest

Goodwill is the excess of the consideration transferred plus any non-controlling interest over the fair value of the identifiable net assets acquired. When the price paid is lower than the acquirer's share of the fair value of net assets, the difference is a gain from a bargain purchase, recognised in profit or loss. Non-controlling interest (NCI) is the equity in a subsidiary not attributable to the parent. In this course NCI is measured at its proportionate share of the subsidiary's identifiable net assets. Goodwill is not amortised; it is tested for impairment at least once a year. Example: P buys 80% of S for 1,000. The fair value of S's net assets is 1,100. NCI = 20% × 1,100 = 220. Goodwill = 1,000 + 220 − 1,100 = 120.

Intragroup transactions

Intragroup balances, transactions, income and expenses are eliminated in full. Profits on intragroup sales that remain in inventory at year-end are unrealised from the group's point of view and are removed. Example: S sells goods to P for 500 that cost 400; half of them are still in P's inventory at year-end, so the unrealised profit is 50. An intragroup loan appears as a receivable in one company and a payable in the other; both are removed on consolidation.

The equity method

Under the equity method the investment is first recognised at cost and then adjusted for the investor's share of the investee's profit or loss. Dividends received from an associate reduce the carrying amount of the investment; they are not income. Example: an investor buys 30% of an associate for 600. The associate earns a profit of 200 and pays total dividends of 50. Share of profit = 60; dividends received = 15; carrying amount = 600 + 60 − 15 = 645.

After the acquisition

Consolidated reserves include the parent's reserves plus the parent's share of the subsidiary's reserves earned after the acquisition date. NCI at the reporting date is its share of the subsidiary's net assets at that date. Example (continued): after the acquisition S retains a profit of 100. Group reserves increase by 80 and NCI increases by 20, so NCI becomes 240.